Retail Sales & Customer Behavior Analysis

Business Performance Report

Executive Summary

The analysis evaluated retail sales performance, customer purchasing behavior, and product performance across 16,500 transactions, 1,400 customers, and 220 products.

Completed transactions generated SAR 1.50 million in revenue, with an average basket value of SAR 94.84. The findings highlight opportunities to improve online sales activity, strengthen customer retention, and optimize product-related decisions.

Key Performance Indicators

KPI	Result
Total Revenue	SAR 1,496,732
Completed Transactions	15,782
Average Basket Value	SAR 94.84
Purchasing Customers	1,317
Average Purchase Frequency	11.98
Units Sold	95,368
Refund Transaction Rate	2.77%
Cancellation Transaction Rate	1.58%

Key Findings & Business Insights

Sales & Channel Performance

In-store purchases accounted for approximately 80.6% of revenue, compared with 19.4% from online sales.

Despite this difference, average basket values were almost identical: SAR 94.83 in-store and SAR 94.88 online. This suggests the revenue gap was primarily associated with transaction volume rather than individual basket value.

Customer Behavior & Retention

Customer activity analysis identified:

- 524 active customers.
- 414 at-risk customers.
- 379 inactive customers.
- 83 customers without completed purchases.

Approximately 60% of purchasing customers had not completed a transaction within the final 30 days of the reporting period. These classifications are based on predefined inactivity thresholds.

Product & Category Performance

Baby Care was the highest revenue-generating category, contributing approximately SAR 313,991, representing 20.98% of completed sales.

The analysis also identified differences between products generating the highest revenue and those achieving the highest sales volume, highlighting the importance of evaluating both measures.

Strategic Business Recommendations

1. Improve Online Sales Performance

Investigate opportunities to increase online transaction volume through improvements in customer acquisition, conversion, and shopping experience.

2. Strengthen Customer Retention

Develop targeted reactivation campaigns for customers showing prolonged purchasing inactivity, prioritizing historically valuable customers.

3. Enhance Customer Loyalty

Explore personalized loyalty incentives for customers with high purchasing frequency and spending to encourage continued engagement.

4. Optimize Product Performance

Monitor high-revenue categories and frequently purchased products to support merchandising, product availability, and assortment decisions.

5. Review Refunds and Cancellations

Investigate the underlying causes of refunded and cancelled transactions to identify opportunities for operational improvements.

5. Expected Business Impact & Success Metrics

Business Objective	Success Metric
Increase online sales activity	Online transaction growth
Improve customer retention	Reactivation rate
Encourage repeat purchases	Purchase frequency
Improve product performance	Category revenue and units sold
Reduce transaction issues	Refund and cancellation rates

6. Recommended Priorities

High Priority: Investigate declining customer activity and test customer reactivation initiatives.

Medium Priority: Assess opportunities for online transaction growth and customer loyalty improvements.

Ongoing: Monitor sales trends, product performance, and transaction quality.

7. Conclusion

The analysis identified opportunities to improve retail performance through better understanding of purchasing patterns, customer activity, and product contribution.

The findings provide a basis for prioritizing customer retention initiatives, evaluating sales channel opportunities, and supporting more informed product decisions.

Business Outcome: A clearer understanding of commercial performance and a structured set of actions that management can evaluate and test.

Limitations: The dataset is synthetic. Customer segments are based on assumed activity thresholds, and the financial impact of the proposed recommendations has not been measured.